25901626 **A**

Reg.No : .....

Name : .....

MAHATMA GANDHI UNIVERSITY, KOTTAYAM

MGU-UGP (HONOURS) REGULAR/IMPROVEMENT/REAPPEARANCE EXAMINATION APRIL 2026

SECOND SEMESTER

Discipline Specific Core Course (DSC) - MG2DSCBLW100 - BUSINESS REGULATORY FRAMEWORK

(2024 ADMISSION ONWARDS)

Duration: 1 Hour 15 Minutes **Maximum Marks: 70**

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)

Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A

MCQ Questions

Answer any **20** questions

Each question carries **1** marks

1. An offer must be: [U] / [CO1]

   a). Indefinite

   b). Made to a specific individual

   c). Made in writing

   d). Communicated

2. The doctrine of privity of contract primarily states that [U] / [CO1]

   a). Any person can enforce a contract.

   b). Only parties to a contract can enforce it.

   c). Third parties can modify contract terms.

   d). All contracts must be public.

3. A revocation of acceptance is not effective unless: [U] / [CO1]

a). The offeree revokes it personally b). The offeror agrees to the revocation

c). It is communicated to the offeror d). A written notice is sent to the offeror

4. Which of the following is NOT a condition for the formation of a valid contract? [U] / [CO1]

a). There must be an offer and acceptance b). Both parties must intend to create legal relations

c). The contract must be in writing d). There must be lawful consideration

5. Which of the following is not a requirement for a person to be considered of sound mind for contracting? [U] / [CO1]

a). Understanding the terms of the contract. b). Forming a rational judgment about the contract's effect.

c). Having complete absence of any mental health condition. d). Being aware of their own interests.

6. A mistake of fact by both parties to an agreement renders the agreement: [An] / [CO1]

a). Void b). Valid

c). Voidable at the option of the aggrieved party d). Illegal

7. Rahul threatens to burn Neha's house unless she signs a contract selling her land to him at a low price. What is the status of this contract? [An] / [CO1]

a). Valid and enforceable b). Voidable at Neha's option

c). Void ab initio d). Enforceable only if registered

8. The term agreement is defined to Sec 2 (e) of the Indian Contract Act as [U] / [CO1]

a). "Every promise or set promises, forming consideration for each other" b). "an agreement which is enforceable by law."

c). "It is an offer which is made to a group of people or public at large" d). "Any thing that is offered to public for sale "

9. The exchange of business documents in a standard electronic format is known as [U] / [CO2]

a). Digital Transaction b). Electronic Data Interchange

c). Cloud Computing d). Online banking

10. When a party agrees to accept a lesser fulfillment of the contract instead of full performance, it is called [U] / [CO2]

a). Rescission b). Remission

c). Alteration d). Waiver

11. Identify the right option where consideration or object of an argument is unlawful and void. [U] / [CO2]

a). If it is fradulent b). If it is immoral

c). If it is forbidden by law d). All the other options

12. Which of the following is NOT a right of the bailee? [U] / [CO3]

a). Right to enforce duties of the bailor b). Right to transfer ownership of goods if bailor fails to claim them

c). Right to retain goods for unpaid charges d). Right to file a case against a third-party interfering with possession

13. In the case of _____ bailment, the bailor does not receive any compensation from the bailee. [U] / [CO3]

a). Conditional bailment b). Non-gratuitous bailment

c). Gratuitous bailment d). Pledge

14. A guarantee that applies to a series of transactions over time is called [U] / [CO3]

a). Specific guarantee b). Continuing guarantee

c). Implied guarantee d). Limited guarantee

15. A contract of indemnity is considered a [U] / [CO3]

a). Unilateral contract b). Bilateral contract

c). Void contract d). Social contract

16. The extent of a surety’s liability is determined by [An] / [CO3]

a). Creditor’s decision b). Debtor’s assets

c). Terms of the guarantee d). Court order

17. How many parties are involved in a contract of guarantee? [U] / [CO3]

a). One party b). Two parties

c). Three parties d). Four parties

18. What is an agent's duty towards his principal? [U] / [CO4]

a). To obey the lawful instructions b). To act in good faith

c). To avoid conflict of interest d). All of the other options

19. Which one of the following is not an essential element of contract of agency? [U] / [CO4]

a). None of the other options b). Principal must be competent

c). No consideration d). Agreement

20. Caveat Emptor means [A] / [CO5]

a). Let the seller decide b). Let the buyer beware

c). Seller is always responsible d). Goods are always perfect

21. Selling 5 bags of cement for ₹2,000 is a [U] / [CO5]

a). Sale b). Gift

c). loan d). lease

22. If the seller becomes insolvent, the buyer can recover goods from [U] / [CO5]

a). The bank b). The supplier

c). The government d). The assignee or official receiver

[1x20 = 20]

Part B

MCQ Questions

Answer any **25** questions

Each question carries **2** marks

23. Assertion (A): Acceptance must be communicated to the offeror to form a valid contract. Reason (R): Silence or inactivity cannot be considered as acceptance. [U] / [CO1]

a). a) Both Assertion (A) and Reason (R) are correct, and Reason (R) is the correct explanation of Assertion (A)

b). Both Assertion (A) and Reason (R) are correct, but Reason (R) is not the correct explanation of Assertion (A)

c). Assertion (A) is correct, but Reason (R) is incorrect

d). Assertion (A) is incorrect, but Reason (R) is correct

24. Match the following [U] / [CO1]

(a) Statutory Law	(i) Established practice or tradition followed
(b) Customary Law	(ii) Agreements made between countries
(c) Case law	(iii) Created by legislature
(d) International law	(iv) Judicial decisions in the court

a). (a) - (ii), (b) - (i), (c) -(iii), (d) - (iv)

b). (a) - (ii), (b) - (iii), (c) - (i), (d) - (iv)

c). (a) - (iii), (b) - (i), (c) - (iv), (d) - (ii)

d). (a) - (i), (b) - (iii), (c) - (iv), (d) - (ii)

25. Which of the following is required for a valid offer? A) Clear intention to be bound by the contract B) Offer must be communicated to the offeree C) Offer must be in writing [U] / [CO1]

a). A&B only

b). A&C only

c). A,B&C

d). B&C only

26. Consider the following statements and state which of the statements are true? Statement (i): Consideration must be adequate to the promise. Statement (ii): Consideration must move at the desire of the promisor. Statement (iii): Consideration can move from the promisee or any other person. Statement (iv): Consideration must be a promise to perform an existing legal duty. [U] / [CO1]

a). (i), (ii) and (iii) only

b). (i) (ii) and (iv) only

c). (ii) and (iv) only

d). (ii) and (iii) only

27. Consider the following statements regarding capacity of parties and state which of the statements are true? Statement I: Contracts entered into by a person during the period of insanity are void. Statement II: A person who has recovered from lunacy does not enjoy the privilege of entering into a contract even after being proven sane. [U] / [CO1]

a). Statement I is true, and Statement II is false

b). Statement I is false, and Statement II is true

c). Both Statements are true

d). Both Statements are false

28. Which of the following is covered under Mercantile Law (i) Sale of Goods Act (ii) Negotiable Instruments Act (iii) Contract Act (iv) Income Tax Act [U] / [CO1]

a). (i) and (ii) only

b). (i), (ii) and (iii) only

c). (ii), (iii) and (iv) only

d). (i), (ii), (iii) and (iv)

29. A minor purchases a mobile phone on credit from a shop but refuses to pay later. The shopkeeper sues the minor. What will happen? [A] / [CO6]

a). The minor must pay because they used the phone.

b). The contract is void, and the minor cannot be held liable.

c). The contract is valid since it was a business transaction.

d). The minor's parents will be liable.

30. X sees an advertisement for a discounted phone in a store's newspaper ad. He visits the store and demands to buy it, but the store refuses to sell at that price. Can X claim the phone at the advertised price? [A] / [CO6]

a). Yes, because the advertisement is an offer

b). Yes, because X made a valid acceptance

c). No, because advertisements are generally an invitation to offer

d). No, because stores can refuse any customer

31. Which of the following is an example of a contingent contract? [U] / [CO2]

a). A contract for the sale of goods without any conditions

b). A contract of insurance

c). A contract that requires payment immediately

d). A partnership agreement

32. Which of the following statements is true? [U] / [CO2]

a). A contract is always valid, even if the terms are unclear

b). If an agreement's meaning is too vague, it is void

c). Uncertain agreements can always be enforced in court

d). A contract without a signature is always void

33. Consider the following statements and state which of the statements are true? [U] / [CO2]
Statement (i) : A person who receives money by mistake is legally bound to return it. Statement (ii) : A finder of lost goods has the same rights as the owner of the goods. Statement (iii) : A person supplying necessities to a minor can claim a reasonable amount for them. Statement (iv) : A Quasi Contract is a contract that is always written and signed.

a). (i),(ii) and (iv) only

b). (i) and (iii) only

c). (i),(ii) and (iv) only

d). (i),(ii),(iii) and (iv)

34. In which of the following situations would the remedy of specific performance be refused by the court? [U] / [CO2]

a). The contract is for the sale of an antique item.

b). The contract is of personal nature.

c). The subject matter of the contract is unique and irreplaceable.

d). The contract involves transfer of immovable property.

35. X and Y entered into a contract where X agreed to pay ₹5 lakhs to Y if it rained on January 1st. It did not rain, but Y demands payment. Will the contract be enforced? [A] / [CO6]

a). Yes, because both agreed.

b). No, because the event did not happen.

c). Yes, because Y suffered a loss.

d). No, because X withdrew consent.

36. Consider the following statements Assertion (A) and Reasoning (R). Choose the correct alternative Assertion (A): A bailor has the right to terminate the contract of bailment if the bailee makes unauthorsed use of the goods. Reason (R): The bailee can use the bailed goods in any way he desires without the bailor's consent. [U] / [CO3]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

37. Which of the following statements are correct regarding the discharge of a surety? Statement 1: A surety is discharged if the creditor releases the principal debtor from liability Statement 2: A surety remains liable even if the contract terms are altered without their consent. [An] / [CO3]

a). Only Statement 1 is correct.

b). Only Statement 2 is correct.

c). Both Statements 1 and 2 are correct.

d). Both Statements 1 and 2 are incorrect.

38. A finds a lost wallet on the street and takes possession of it. Which of the following actions is legally required of A? [An] / [CO3]

a). Keep the wallet for himself

b). Make reasonable efforts to find the owner

c). Sell the wallet and donate the money

d). Use the money inside the wallet and return the empty wallet if claimed

39. Consider the following statements and choose the most appropriate alternative. Statement I: In a pledge, the pledgee has the right to sell the goods if the pledgor fails to repay the debt. Statement II: In ordinary bailment, the bailee has the right to sell the goods if the payment of remuneration is not made. [U] / [CO3]

a). Both statements are true.

b). Statement I is true, and Statement II is false.

c). Statement I is false, and Statement II is true.

d). Both statements are false.

40. Which one of the following is /are the rights of the principal? [U] / [CO4]

a). He is entitled to proper accounts from the agent.

b). He must expect the agent to use as much skill as is generally possessed by persons engaged in business.

c). He has the right to give instructions to the agent for the conduct of the business.

d). All of the above

41. The Condition(s) which entitle an agent to exceed his authority under agency by necessity are: [U] / [CO4]

a). Communication with principal is impractical in emergencies

b). The action must be reasonable and necessary under the circumstances

c). The agent must act in good faith

d). All of the other options

42. Consider the following statements and state which of the following statements are true? Statement (i): Sub agent is appointed by the original agent. Statement (ii): Sub agent is responsible to the original agent. Statement (iii): Original agent is not responsible to the principal for the acts of the sub agent. Statement (iv): There is no direct contract between sub agent and principal. [U] / [CO4]

a). (i), (ii) and (iv) only

b). (i) and (iv) only

c). (ii), (iii) and (iv) only

d). (i), (ii), (iii) and (iv)

43. A and B are brothers. A lived in Delhi and B in Culcutta. B had a flat in Delhi. A with B's knowledge let out his flat. A used to realise monthly rent and remit the amount to B who was accepting the same. In such a case, which type of agency is created between A and B? [E] / [CO6]

a). Agency by Implied Agreement

b). Agency by Express Agreement

c). Agency by Operation of Law

d). None of the other options

44. A lends his old car to B for free, knowing that its brakes are faulty but does not inform B. While driving, B meets with an accident due to brake failure. Who is liable? [E] / [CO6]

a). A is liable as he failed to disclose a known defect.

b). B is liable because he accepted the car without checking.

c). No one is liable since the car was given gratuitously

d). A is not liable because it was a free bailment.

45. M guarantees a ₹10 lakh business loan taken by his cousin, R, from a Cooperative Bank. Without informing M, the bank enters into a private agreement with R, reducing his loan interest and extending the repayment period. Later, R defaults on the loan. What is M’s liability? [E] / [CO6]

a). M is still fully liable

b). M’s liability is reduced proportionately

c). M is completely discharged as a surety

d). M is liable only if R agrees

46. Consider the following statements Assertion (A0 and Reasoning (R). Choose the correct alternative. Assetion (A): In a sale by sample, the goods must match the sample. Reason (R): The buyer has the right to compare the bulk with the sample to check for defects. [U] / [CO5]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

47. Which of the following are rights of an unpaid seller? (i) Right to stop goods in transit (ii) right to demand payment before delivery (iii) right to sue for the price after the sale (iv) Right to retain goods until payment is made. [A] / [CO5]

a). (i) and (iii) only

b). (i) and (ii)

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48. The key difference between a condition and a warranty is [U] / [CO5]

a). A condition is minor, while a warranty is major

b). A condition is essential, while a warranty is collateral

c). Both are equally important

d). A warranty always leads to contract termination

49. Mr.A is the owner of a smartphone. He entrusts his phone to company service centre for the purpose of repair? Who has the general property in goods? [A] / [CO6]

a). Mr. A

b). Service centre

c). Manufacturing company of the smartphone

d). Employee of the service centre

[2x25 = 50]

25901626 **B**

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Part A

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Answer any **20** questions

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a). Mr. A

b). Service centre

c). Manufacturing company of the smartphone

d). Employee of the service centre

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(b) Customary Law	(ii) Agreements made between countries
(c) Case law	(iii) Created by legislature
(d) International law	(iv) Judicial decisions in the court

a). (a) - (ii), (b) - (i), (c) -(iii), (d) - (iv)

b). (a) - (ii), (b) - (iii), (c) - (i), (d) - (iv)

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d). (a) - (i), (b) - (iii), (c) - (iv), (d) - (ii)

39. The key difference between a condition and a warranty is [U] / [CO5]

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b). A condition is essential, while a warranty is collateral

c). Both are equally important

d). A warranty always leads to contract termination

40. Which of the following is an example of a contingent contract? [U] / [CO2]

a). A contract for the sale of goods without any conditions

b). A contract of insurance

c). A contract that requires payment immediately

d). A partnership agreement

41. Consider the following statements and state which of the statements are true? [U] / [CO2]
Statement (i) : A person who receives money by mistake is legally bound to return it. Statement (ii) : A finder of lost goods has the same rights as the owner of the goods. Statement (iii) : A person supplying necessities to a minor can claim a reasonable amount for them. Statement (iv) : A Quasi Contract is a contract that is always written and signed.

a). (i),(ii) and (iv) only

b). (i) and (iii) only

c). (i),(ii) and (iv) only

d). (i),(ii),(iii) and (iv)

42. In which of the following situations would the remedy of specific performance be refused by the court? [U] / [CO2]

a). The contract is for the sale of an antique item.

b). The contract is of personal nature.

c). The subject matter of the contract is unique and irreplaceable.

d). The contract involves transfer of immovable property.

43. Which of the following is covered under Mercantile Law (i) Sale of Goods Act (ii) Negotiable Instruments Act (iii) Contract Act (iv) Income Tax Act [U] / [CO1]

a). (i) and (ii) only

b). (i), (ii) and (iii) only

c). (ii), (iii) and (iv) only

d). (i), (ii), (iii) and (iv)

44. The Condition(s) which entitle an agent to exceed his authority under agency by necessity are: [U] / [CO4]

a). Communication with principal is impractical in emergencies

b). The action must be reasonable and necessary under the circumstances

c). The agent must act in good faith

d). All of the other options

45. M guarantees a ₹10 lakh business loan taken by his cousin, R, from a Cooperative Bank. Without informing M, the bank enters into a private agreement with R, reducing his loan interest and extending the repayment period. Later, R defaults on the loan. What is M's liability? [E] / [CO6]

a). M is still fully liable

b). M's liability is reduced proportionately

c). M is completely discharged as a surety

d). M is liable only if R agrees

46. A minor purchases a mobile phone on credit from a shop but refuses to pay later. The shopkeeper sues the minor. What will happen? [A] / [CO6]

a). The minor must pay because they used the phone.

b). The contract is void, and the minor cannot be held liable.

c). The contract is valid since it was a business transaction.

d). The minor's parents will be liable.

47. Consider the following statements Assertion (A0 and Reasoning (R). Choose the correct alternative. Assetion (A): In a sale by sample, the goods must match the sample. Reason (R): The buyer has the right to compare the bulk with the sample to check for defects. [U] / [CO5]

a). Both A and R are true, and R is the correct explanation of A.

b). Both A and R are true, but R is not the correct explanation of A.

c). A is true, but R is false.

d). A is false, but R is true.

48. Consider the following statements and state which of the statements are true? [U] / [CO1]
Statement (i): Consideration must be adequate to the promise. Statement (ii): Consideration must move at the desire of the promisor. Statement (iii): Consideration can move from the promisee or any other person. Statement (iv): Consideration must be a promise to perform an existing legal duty.

a). (i), (ii) and (iii) only

b). (i) (ii) and (iv) only

c). (ii) and (iv) only

d). (ii) and (iii) only

49. Which one of the following is /are the rights of the principal? [U] / [CO4]

a). He is entitled to proper accounts from the agent.

b). He must expect the agent to use as much skill as is generally possessed by persons engaged in business.

c). He has the right to give instructions to the agent for the conduct of the business.

d). All of the above

[2x25 = 50]